

The Claremont City Council held a meeting on Wednesday, May 31, 2017, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Members of the Council present were:

Ward I Councilor Carolyn Towle
Ward II Councilor Scott Pope
At-Large Councilor Keith Raymond
Assistant Mayor Victor Bergeron
Mayor Charlene Lovett
At-Large Councilor Allen Damren
At-Large Councilor Bruce Temple
Ward III Councilor Nicholas Koloski
At-Large Councilor John Simonds

Also present were:

Ryan McNutt, City Manager
Jane Taylor, City Solicitor

CITY MANAGER REPORT

Mr. McNutt said the only change he is making to the budget after meeting with SWCS (Southwestern Community Services) is to add money for the bus line. They receive federal funding and I do not want to be the reason they lose the federal funding. They can run with \$25,000 from us and I feel we can find \$25,000 without adding it to the tax rate.

AGENDA CHANGES

None

A motion was made by Councilor Pope and seconded by Councilor Bergeron to suspend Rule 22 to allow discussion of an agenda item (the Budget) during Citizen's Forum.

Roll call vote: motion carried 9-0.

CITIZEN'S FORUM

Sylvia Howe Ward 2 – Spoke in support of Fiske Free Library. Grew up in Cornish and graduated from Stevens High School, I am a veteran. I used the library to do my homework. Consider the library a basic necessity. The staff is knowledgeable and helpful.

Jack Hurley – Ward 2 – moved to Claremont 1 ½ years ago I discovered a gem here in the library. He feels it would be a mistake to cut the funds to the library. I have heard rumors about Claremont becoming a place of the arts. I feel we should be spending more money on the library.

Donna Montenegro – Ward 1 – She said she is here to support the library. When I travel, I realize our library is looking sad. She opposed cutting the magazine budget to zero. I realize that Manager McNutt is trying to not increase our taxes. We used to have 50-60 subscriptions back in 2012 and now we will have zero. Please do not cut the library.

Ernest Montenegro – Ward 1 – He also spoke in support of the library. Two fulltime employees are not enough to run this library.

Cindy Cleveland – Ward 1 – I will also repeat a lot of what has been said. Please do not cut our library; it is vital to our community. I frequent the library and I am so glad to see users of all different ages. The staff here is wonderful. It is something that people moving to this area do look at. Please take this into consideration.

Bob Arcand – Ward 2 – trustee of the library. He recognized Colin Sanborn & Marta Smith, who between them have over 60 years of experience. Any cuts will send us backwards. I ask that you restore full funding.

Arthur Vidro – Ward 1 – I was here on May 11th when someone said there was hundreds of jobs unfilled in the City, please post these. I went into the library in 2009 I was a stranger, and looking for something special. The Librarian knew exactly what I was looking for and retrieved it for me from a locked case. The library cannot be run by volunteers.

Mr. McNutt stated that while this budget is eliminating a position, the library is not closing and we could spend a portion of the \$35,000 books line item on periodicals. He is committed to maintaining a children's librarian.

Mayor Lovett stated we took \$1.465 million from fund balance for the FY17 budget so that the taxes would not go up. With the City Manager's budget, we are looking at taking \$900,000 from fund balance. If we continue on this way, we will not have anything left in fund balance and this budget does not include any money for roads. We are looking at a lot of difficult decisions. Our taxes used to be neck-in-neck with Berlin, but we are now \$3.00 more than Berlin. We know we have to grow the tax base. I am asking that we have a good discussion and look at things from different angles.

Mr. Arcand stated that the people here for the library are willing to pay the increase.

BUDGET DISCUSSION

Mayor Lovett asked Mr. Grace to give an overview of the library operations and how the functions are distributed among employees.

Mr. Grace stated before the children's librarian retired, we had 4 full-time. With the new budget, we would have 2 full-time and 6 part-time. Colin is the circulation librarian and manages circulation, staff and the stacks. Marta is the assistant director and reference librarian. She selects and orders materials and handles interlibrary loans and is helped by 2 part-time staff. The children's area is handled by 2 part-time employees. The library also has a part-time cataloger and a part-time custodian. We are requesting to reinstate one full-time position at a price of approximately \$79,000.

Mayor Lovett asked about the 2 revenue lines, if they have other ways to bring in revenue, if they had any cooperative agreements with other towns or schools, and do they apply for grants.

Mr. Grace said they have some revenue from fines and lost or damaged books that goes into a non-lapsing fund that is used primarily to purchase circulating materials.

Mr. Grace said they do not have any cooperative agreements and that they do occasionally apply for grants. The last one was a couple of years ago. They do participate in interlibrary loan programs.

Councilor Koloski asked Mr. McNutt where he was coming up with the \$35,000 as he only sees \$31,000 in the proposed budget. Mr. McNutt stated from the late fees and such.

Councilor Bergeron thanked all the people that sent emails and let them know he does take them seriously.

Councilor Raymond also thanked all of the people here supporting the library and would like to know what the cost of adding the full-time position back in.

Councilor Simonds said that he asked what the cost would be for this position and was told it would be \$78,860.00 (12 cents on the tax rate).

A motion was made by Councilor Pope and seconded by Councilor Simonds to take consideration of the Library budget off the table.

Motion carried unanimously.

Councilor Koloski stated he is not in favor of cutting the library or legal counsel. The library budget keeps getting stripped. It sees 9,000 people a month pass through its doors and any business would love that type of traffic.

Mayor Lovett said there are a few things that are not correct. The library's budget has had increased dollars each year.

Mr. Koloski clarified he was referencing library capital projects, which keep getting cut. He said he sees parallels to the way the former GCC was handled.

Councilor Simonds, Councilor Pope, Councilor Towle and Councilor Damren all spoke about their support for adding one full-time position back into the library.

Mayor Lovett said a few months ago when this council and the school board starting meeting our main purpose was to hold the line on the tax rate. When the school board went through their budget process, as painful as it was, they came out of it with a zero cent increase. This council needs to remember that and make some painful decisions. If we are going to add the library position back in we must take the funds out from somewhere else in the budget.

Councilor Damren said that he thinks some of the revenue lines are too conservative and could be adjusted up. He talked about the timber yield tax line showing \$15,000 last year, when we collected \$72,000 and the year before \$49,000. I would like to increase that revenue line to \$25,000.

Mary Walter stated that she only has an opinion and you can change those numbers but she did not feel they are understated.

Mr. McNutt stated, as a reader himself, he did not want to make these cuts, but we must cut and grow at the same time. This budget is painful as will next year be as well. The next pressure point is the roads, which are much more expensive than the library.

Councilor Bergeron asked if we increase the revenue lines and they fall short what happens. Mrs. Walter stated you would have to freeze spending or come back to the council for a supplemental appropriation for fund balance.

Councilor Damren is looking on page 13 – office supplies could be reduced by \$1,000; books could be reduced by \$1,000 and property maintenance by \$3,000.

Mr. McNutt spoke about the property maintenance line, which is for property that we need to make repairs and then place a lien on them.

Councilor Damren asked on page 15 if information systems could be reduced to \$16,000 from \$18,000. Ms. Walter stated most of this money is for contracts.

Councilor Koloski asked why don't we just reduce \$5,000 from every budget as we can only take from the bottom line.

Mr. McNutt suggested that the council just explain what it wants to retain in the budget and I will make it happen through decreases of other departments or on the tax rate.

Councilor Damren said he wants one position for the library added back in and no increase on the tax rate.

Councilor Koloski asked about a grant writer/economic development person.

Councilor Bergeron wants the one position for the library back in, giving the bus service \$25,000 and adding a position in planning.

Mr. McNutt said the business development coordinator position is funded in the budget but has not been filled.

Councilor Temple said he was still concerned about the figures for water/sewer support from the general fund. Ms. Walter reviewed the charge-back percentages.

Councilor Temple is having a hard time with \$220,000 for a culvert. This affects general fund. We just approved the police contract, including pay increases; and a contract with training increases for highway. We have not approved the fire contract, clerical contract or merit plan. Are we going to have the backbone to say no to them and only give the police an increase? Should we be putting the bid out for Main St./North St. project – if this goes over budget will we be asked to pay? If you think this year is hard, wait until next year.

Mr. McNutt said he feels fund balance should be used for one-time expenses like the culverts, not for recurring expenses.

Councilor Temple asked why can't we put the culverts out to bid and the director can come and ask us to take the money out of fund balance at that time.

Mr. Damren indicated that this doesn't change the bottom line of the budgeted amounts. More discussion followed.

Councilor Pope asked for a break at 8:30pm.

Mayor Lovett back at 8:43pm

After further discussion, the council agreed that they want the culverts to be removed from the budget and have the director come back to have the funds come from fund balance when the cost is actually known.

Councilor Temple stated back in 2009/10 there were proposed cuts to the library and they were not cut but every other department was. I remember I was not happy because I lost a couple of people and we were struggling to plow roads and sidewalks.

Councilor Koloski spoke about the city solicitor's position when we are here for council meetings; does that mean there will be no one here for questions? That position is also valuable to the planning and zoning meetings. Which could hurt development.

Consensus of the Council was to have Mr. McNutt provide 3 scenarios for budget revisions:

1. Add the library position and stay within the 6 cent projected increase in the tax rate;
2. Add the library position and have the projected tax rate increase at 0 cents;

3. Add the library position and have a projected tax rate increase of over 6 cents.

Mayor Lovett asked Mr. McNutt to personally contact the American Legion for a reaction to the City's notice that it would no longer pay for the flags put on veterans' graves by the American Legion.

Mr. McNutt offered to personally donate \$1,200 for the flags, which was not accepted by the Council.

Mr. McNutt further explained that the Council members needed to understand the opportunity cost of each budget cut. He gave the bus transportation as an example, where cuts could result in the loss of federal funds and other contributions.

Mayor Lovett said that if the library cuts are restored, she would like to see improvements to the library revenue streams.

CONSULTATION WITH LEGAL COUNSEL

None

ADJOURNMENT

At 9:00 p.m., a motion was made by Councilor Raymond and seconded by Councilor Damren to adjourn.

Voice vote: motion carried 9-0.

Respectfully Submitted,

Gwendolyn R. Melcher